Analysis refers to examination of the figures computed and comparison of the same to establish relationship among them and identifying the reasons for the performance or changes. Interpretation refers to elucidation and explanation of the results of analysis.

8.4.2 Objectives of financial statement analysis

Financial statement analysis may be done with any of the following objectives:

1. To analyse the profitability and earning capacity
2. To study the long term and short term solvency of the business
3. To determine the efficiency in operations and use of assets
4. To determine the efficiency of the management and employees
5. To determine the trend in sales, production, etc.
6. To forecast for future and prepare budgets
7. To make inter-firm and intra-firm comparisons.



Intra-firm comparison is comparison within the organisation among different departments, divisions, etc.
Inter-firm comparison is comparison of one firm with other firm or firms in the industry.

8.4.3 Limitations of financial statement analysis

Following are the limitations of financial statement analysis:

1. All the limitations of financial statements such as ignoring non-monetary information, ignoring price level changes, etc., are applicable to financial statement analysis also.
2. Financial statement analysis is only the means and not an end, that is, it is only a tool in the hands of management and other shareholders. Interpretation of the results has to be done only by the financial analysts with due regard to the internal and external environmental factors.
3. Expert knowledge is required in analysing the financial statements.
4. Interpretation of the analysed data involves personal judgement as different experts may give different views.

8.5 Tools of financial statement analysis

Different tools are used for analysing the financial statements. The tool is selected based on the purpose of analysis. Following are the commonly used tools of financial statement analysis:

(i) Comparative statement

A statement giving comparison of net increase or decrease in the individual items of financial statements of two or more years of a business concern is called comparative statement. It shows the actual figures at different periods of time, the increase or decrease in these figures

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